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DA3411 Business Valuation and Analysis

Individual Assignment 02

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Investment Report: Ceylon Beverage Holdings PLC

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Investment Report: Ceylon Beverage Holdings PLC (BREW.N0000)

1. Introduction

- **Company Overview:**

Ceylon Beverage Holdings PLC is a leading player in Sri Lanka's alcoholic beverage industry. Through its principal subsidiary, Lion Brewery (Ceylon) PLC, the group dominates the domestic beer market and exports regionally. With growing demand driven by tourism recovery, demographic trends, and rising disposable incomes, BREW is well-positioned for steady growth in the beverage sector.

- **Business Model:**

The company generates revenue primarily through production and sale of beverages, including beer, spirits, and soft drinks. It benefits from an established distribution network, strong marketing, and continuous product innovation.

2. Economic and Business Environment

- **Macroeconomic Context:**

Sri Lanka's economy is recovering post-pandemic, with moderate GDP growth expected around 3-4% in 2025, improving consumer spending and demand for beverages. Inflation and interest rates remain relatively stable, supporting business investment.

- **Industry Overview:**

The beverage industry is competitive but growing, driven by urbanization, rising disposable incomes, and lifestyle changes. Regulatory environment is stable but requires compliance with excise taxes and environmental standards.

- **Company Position:**

Ceylon Beverage Holdings maintains a strong market presence with innovative product launches and increasing export revenues, positioning it well to capitalize on domestic and regional growth.

3. Financial Analysis

(Ceylon Beverage Holdings PLC, Interim report for the Year ended 31st March 2025)

To evaluate the company's financial health and attractiveness to investors, we analyzed key performance and valuation metrics:

Metric	Value	Analysis
Revenue	LKR 125.2 Billion	Consistent year-over-year growth
Gross Profit Margin	23.60%	Reflects strong pricing and volume control
EBITDA	LKR 20.5 Billion	Solid margin of 16.4%
Net Profit	LKR 9.66 Billion	EPS: 243.82
ROE (Return on Equity)	14.70%	Good shareholder value creation
Total Assets	LKR 97.9 Billion	Well capitalized
Net Cash Position	Net Cash (Cash > Debt)	Low financial risk profile

These figures reflect stable operations, strong cash generation, and healthy margins, even amid high alcohol taxation and currency depreciation risks.

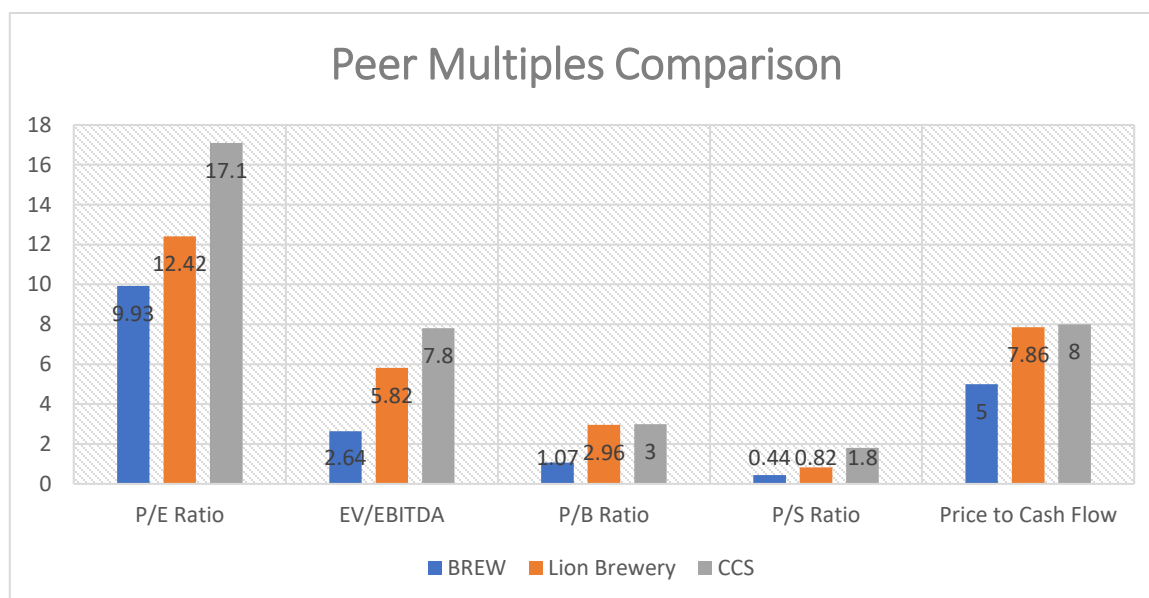
3.1 Peer Comparison

(Wall Street Journal – Lion Brewery Ratios, 2025) (Investing.com – Ceylon Cold Stores and BREW ratios, 2025)

Compared BREW with two similar publicly listed companies:

- Lion Brewery (Ceylon) PLC- Its main operating subsidiary
- Ceylon Cold Stores PLC (CCS) - A leading beverage and consumer company in Sri Lanka.

Metric	BREW	Lion Brewery	CCS	Comment
P/E Ratio	9.93	12.42	17.1	BREW is significantly undervalued
EV/EBITDA	2.64	5.82	7.8	BREW trades at deep discount
EBITDA Margin	16.40%	~15–17%	~14%	Comparable efficiency
P/B Ratio	1.07	2.96	3	BREW is below asset value of peers
P/S Ratio	0.44	0.82	1.8	Market undervalues BREW's top line
Price to Cash Flow	5	7.86	~8.0	Better cash flow yield



The peer multiples chart highlights the valuation gap between BREW and its competitors. While Lion Brewery and CCS are priced higher across earnings, assets, and cash flow, BREW's strong performance metrics suggest this discount is unjustified — offering a potential opportunity for value-oriented investors.

BREW demonstrates strong fundamentals with low leverage, high earnings quality, and consistent cash generation. Despite this, it trades at significantly lower valuation multiples compared to its peers.

Reasons for undervaluation may include: its structure as a holding company, less analyst coverage, or investor focus on Lion Brewery directly. However, from a valuation perspective, these discounts may be unwarranted and create opportunity.

4. Valuation – Intrinsic & Relative Analysis

4.1 Intrinsic Valuation – DCF Method

(Ceylon Beverage Holdings PLC, Interim report for the Year ended 31st March 2025)

Using the Free Cash Flow to Firm (FCFF) model, we estimate the fundamental (intrinsic) value of Ceylon Beverage Holdings PLC.

- WACC (Discount Rate): Standard for Sri Lanka-based firms; estimated using industry beta, risk-free rate (~10%), and equity risk premium (4–5%) = **13.5%**

Estimated Cost of Equity = $10 + 0.8 \times 5 = 0.14$

Estimated Cost of debt = 0.063

WACC = $0.85 \times 0.14 + 0.15 \times 0.063 \approx 13.5\%$

- Terminal Growth Rate: Conservative long-term growth aligned with Sri Lanka's projected GDP + inflation = **3.00%**
- Revenue: Taken directly from the 2025 Interim Financial Statements = **LKR 125.2 Bn**
- EBITDA Margin: Based on actual EBITDA in FY2025: **~LKR 20.5Bn** (16.4% of LKR 125.2Bn)
- Tax rate: Effective corporate tax rate of Q1 in FY 2025 = **30%**
- CapEx & Working Capital: Assume based on historical maintenance CapEx + net working capital needs = **7% of revenue**
- Growth Rate: Growth reflecting post-COVID tourism recovery, increasing demand, and inflation pass-through = **5%**
-

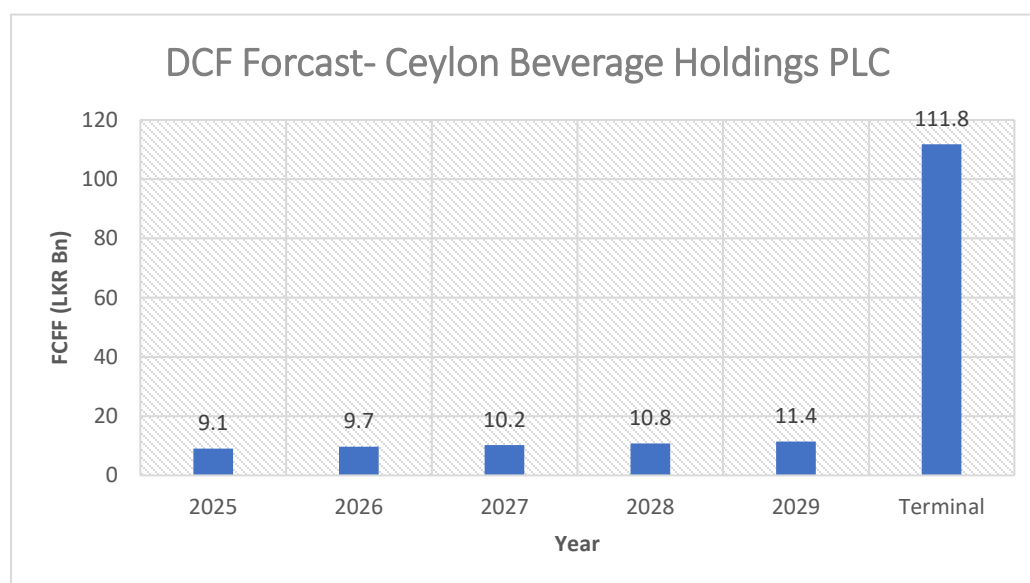
Parameter	Value
WACC (Discount Rate)	13.50%
Terminal Growth Rate	3.00%
Revenue (FY 2025)	LKR 125.2 Billion
EBITDA Margin	16.40%
Tax Rate	30%
FCFF Base (2025)	~LKR 9.1 Billion

CapEx + Working Capital	7% of revenue
Forecast Period	5 years with 5% revenue growth

Free Cash Flow to Firm (FCFF) Estimation

Revenue	LKR 125.2 Bn
EBITDA	$125.2 \times 16.4\% = \text{LKR } 20.53 \text{ Bn}$
EBIT	$\text{EBITDA} - \text{Depreciation (assumed 2\% of revenue)} = \text{LKR } 18.0 \text{ Bn}$
NOPAT	$\text{EBIT} \times (1 - \text{Tax Rate}) = 18.0 \times 70\% = \text{LKR } 12.6 \text{ Bn}$
CapEx + W.C	$125.2 \times 7\% = \text{LKR } 8.76 \text{ Bn}$
FCFF	$\text{NOPAT} - \text{Reinvestment} = 12.6 - 3.5 = \text{LKR } 9.1 \text{ Bn}$

Year	Calculation	FCFF (LKR Bn)
2025	9.1	9.1
2026	9.1×1.05	9.7
2027	9.7×1.05	10.2
2028	10.2×1.05	10.8
2029	10.8×1.05	11.4



Enterprise Value Calculation

Component	Value (LKR Bn)
PV of FCFF (2025–2029)	38.7
PV of Terminal Value[11.4*1.05/(0.135-0.05)]	59.2
Enterprise Value	97.9
Less: Net Debt	2.5
Equity Value	95.4
Shares Outstanding	20.99 Mn
Intrinsic Value/Share	~LKR 4,545
Market Price (May 2,2025)	LKR 2,275
Upside Potential	~100%

Based on the DCF model, the intrinsic value of Ceylon Beverage Holdings PLC is estimated at LKR 4,545 per share, while the market price as of May 2, 2025 was only LKR 2,275.

This means the stock is undervalued by approximately 100%.

The valuation is supported by the company's strong free cash flow, stable margins, and low debt. Even under conservative growth and discount rate assumptions, the stock appears to be significantly mispriced by the market.

4.2 Relative Valuation

(Investing.com – Ceylon Cold Stores and BREW ratios, 2025) (Wall Street Journal – Lion Brewery Ratios, 2025)

We compare BREW's valuation multiples with key peers: Lion Brewery and CCS (Ceylon Cold Stores) using updated data.

Multiples Comparison

Metric	BREW	Lion Brewery	CCS
P/E Ratio	9.93×	12.42×	17.1×

EV/EBITDA	2.64×	5.82×	7.8×
P/B Ratio	1.07×	2.96×	3.0×
P/S Ratio	0.44×	0.82×	1.8×
EV/Sales	0.44×	0.91×	1.6×
Price to Cash Flow	5.0×	7.86×	~8×

When compared to peer companies such as Lion Brewery and Ceylon Cold Stores, BREW trades at much lower valuation multiples across P/E, EV/EBITDA, P/B, and P/S ratios.

For example, BREW's EV/EBITDA is only 2.64× compared to 5.82× for Lion Brewery and 7.8× for CCS.

Despite having comparable profitability and operational efficiency, the market assigns BREW a significantly lower valuation, indicating a potential undervaluation of 40–60%.

Both intrinsic and relative valuation methods suggest that Ceylon Beverage Holdings PLC is materially undervalued.

The DCF model projects a 100% upside, while peer comparison shows BREW trades well below industry-average multiples, despite strong financial fundamentals.

These consistent findings point to a significant investment opportunity for long-term value investors.

Given its solid earnings, strong cash flows, low debt, and brand strength via Lion Brewery, BREW is likely mispriced by the market and offers an attractive entry point.

5. Final Recommendation

Based on both the intrinsic (DCF) and relative valuation results, **Ceylon Beverage Holdings PLC (BREW)** is significantly **undervalued**. The company shows strong financial fundamentals, consistent free cash flows, and operates in a stable, resilient sector.

- Intrinsic value per share is LKR 4,545, while the market price is only LKR 2,275 — offering a 100% upside.
- Compared to peers like Lion Brewery and Ceylon Cold Stores, BREW trades at much lower valuation multiples, despite having similar profitability.

- The company generates strong cash flows, has low debt, and benefits from a leading brand (Lion Brewery).

Risks to Consider

- Government tax increases or regulation in the alcohol industry
- Foreign exchange volatility affecting import costs

Ceylon Beverage Holdings is a high-potential investment backed by solid fundamentals and market mispricing.

We recommend a Buy for long-term investors looking for strong value with downside protection and upside potential.

6. References

Ceylon Beverage Holdings PLC. (Interim report for the Year ended 31st March 2025). *Interim Condensed Financial Statements*.

(2025). *Investing.com – Ceylon Cold Stores and BREW ratios*. Investing.com.

(2025). *Wall Street Journal – Lion Brewery Ratios*. WSJ.